

Indian Oil Corporation vs Lloyds Steel Industries Ltd. on 31 August, 2007

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Bench: [A.K. Sikri](#)

JUDGMENT

A.K. Sikri, J.

1. The respondent herein was awarded certain contracts by the petitioner. These works were executed by the respondent but there was delay in the execution of the contract. Clause 4.4.0.0. of the General Conditions of Contract provided for liquidated damages in case of delay in execution. Invoking this clause the petitioner recovered the maximum liquidated damages as provided, i.e. 10% of the contract value, from the respondent's last running account bill. The respondent agitated as according to it no such liquidated damages were payable. The contract provided arbitration clause, which was invoked by the respondent. The learned arbitrator went into this question and has rendered his impugned award dated 28.4.2003 holding that the imposition of liquidated damages by the petitioner was not justified. The present petition is filed by the petitioner challenging this award. The question, as is clear from the above, is about the competence of the petitioner to recover the liquidated damages and scope of this petition is to consider as to whether the impugned award deciding this question is liable to be interfered with in exercise of this Court's jurisdiction under [Section 34](#) of the Arbitration and Conciliation Act, 1996 (for short, the 'Act').

2. To appreciate the controversy, we may note the facts in some more detail. The petitioner, Indian Oil Corporation, had awarded to the respondent the contract of designing, detailed engineering, procurement, supply, fabrication, erection, testing and commissioning of Petroleum Product Terminal Depots along the Kandla-Bhatinda Pipe Line (hereinafter referred to as 'KBPL') at Jodhpur. The respondent also participated in the tender process and was awarded the contract, being the successful tenderer. Three contracts were executed with the respondent, namely:

(i) Main contract for design, detailed engineering, procurement, supply, fabrication, erection, testing and commissioning of KBPL Depot of IOC at Jodhpur. The key features are as follows:

Value of the Contract (fixed) - Rs. 23.29 crores
Telex of Intent - 03.03.1993
Agreement - 14.04.1993
Time of completion - 02.06.1994, i.e. 16 months from the date of issuance of Telex of Intent i.e. 03.03.1993.

Delay	-	by 21 months
Date of Completion	-	Partial Mechanical Completion Certificate was given dated 30.03.1996

(ii) First Supplementary Contract for Drinking Water System Contract.

Value of the Contract (fixed)	-	Rs. 33,15,095/-
Telex of Intent	-	16.11.1994
Agreement	-	15.12.1994
Time of completion	-	30.03.1995, i.e. 4 1/2 months from the date of issuance of Telex of Intent i.e. 16.11.1994
Delay	-	by 13 1/2 months
Date of Completion	-	15.05.1996

(iii) Second Supplementary Contract for Internal Painting of Tanks Contract Value of the Contract (fixed) - Rs. 36,73,216/-

Telex of Intent	-	27.02.1995
Agreement	-	10.06.1995
Time of completion	-	26.04.1995, i.e. 2 months from the date of issuance of Telex of Intent i.e. 27.02.1995
Delay	-	by 13 months
Date of Completion	-	25.05.1996

Thus, according to the petitioner, there was delay of 21 months, 13 1/2 months and 13 months respectively in the execution of the aforesaid three contracts. Clause 4.4.0.0. of the General Conditions of Contract entitles the petitioner to liquidated damages for delay at 1% of the total contract value for each week or part thereof, subject to maximum of 10%. This clause reads as under:

Clause 4.4.0.0: If there is any delay in the final completion of the work at any job site or specific works in respect of which a separate Progress Schedule has been established, beyond the date for the final completion of the work or work aforesaid at the job site as stipulated in the Progress Schedule, the owner shall (without prejudice to any other right of owner in this behalf) be entitled to liquidate damages for delay at 1% (one per cent) of the total contract value for each week or part thereof that the work remains incomplete beyond the scheduled date of final completion for the work, or works, as the case may be, at the job site, subject to a maximum of 10% (ten per cent) of the total contract value.

Invoking this clause, maximum amount of 10% of the contract value was recovered by the petitioner from the last running account bill of the respondent. The total amount is Rs. 3,53,68,840/-. There is no dispute that the respondent had executed the entire work covered by the aforesaid contracts to the complete satisfaction of the petitioner herein. There were no defects in performance of the contract. The respondent had given performance bank guarantees after the award of the work. These bank guarantees were also discharged by the petitioner progressively. However, only on the allegation that there was a delay in execution of the work, liquidated damages were imposed and recovered.

There is also no dispute that completion of the contract was delayed beyond the stipulated period. However, according to the respondent, delay was attributed to the petitioner. Its case was that there was an admitted delay in KBPL reaching Jodhpur/Salawas. Consequently, there was delay in commissioning the marketing/storage terminal at Jodhpur/Salawas and the petitioner, during the course of execution of the contract, awarded two supplementary contracts - one pertaining to drinking water system and other relating to internal painting system of the tanks. These contracts were executed within 4 1/2 months and 2 months respectively from the respective date of Telex of intent. It was also the case of the respondent that in the course of execution of the main contract there were alterations, modifications, additions, deletions and also 'hold on' the execution of the contract which resulted in delay in commencing, and consequent delay in completion of the contract. For this and other reasons, the respondent did not accept the claim for delay and also stated that in fact the petitioner had itself extended the period of contract from time to time and, therefore, the petitioner had no right to recover the liquidated damages as with the extension of time it had waived all its claims. It was also the case of the respondent that in any case as the pipe line had not reached the terminal, there was no loss or injury on account of the alleged delay in completion of the contract.

3. The learned arbitrator, in his impugned award, has accepted the plea of the respondent herein and for this reason opined that imposition of liquidated damages was unjustified and, therefore, the arbitral tribunal has directed the petitioner to refund the amount of liquidated damages from the respondent together with interest @ 18% p.a. with effect from 1.10.1998 to the date of the award. Future interest @ 18% p.a. till the date of payment is also awarded.

4. The Award The impugned award rendered by the learned arbitrator runs into 24 pages. After setting out the scope of work in the contracts, case of the claimant (the respondent herein) and that of the petitioner, it records that following issues are framed on the basis of pleadings between the parties:

1. Whether time was of the essence of the contract as an operating condition throughout the execution of the contract?

2. Whether the delay, if any, in the execution of the project is attributable to the Claimant or the Respondent?
3. Whether the imposition of liquidated damages by the Respondent is justified?
4. Whether the Claimant was forced and coerced by the Respondent, as alleged in the Statement of Claim, to enter into the two supplementary contracts with respect to "Drinking Water System" and "Internal Painting" project? If so, to what effect?
5. Whether the execution of the aforesaid two Supplementary Contracts was responsible for the delay, if any, occasioned in the execution of the principal Contract by the Claimant?
6. Whether extensions of time by the Respondent and/or Engineers India Ltd. constitute a waiver of the rights of the Respondent under the Contract?
7. Whether the Respondent suffered any injury or wrong justifying the imposition of liquidated damages, and in any event whether the liquidated damages imposed by the Respondent were reasonable?
8. Whether the Claimant is entitled to interest by reason of the delay, if any, in clearing the running account bills, and if so, whether the claim to such interest is covered within the scope of this arbitration?
9. Whether the Respondent was entitled to retain monies after the completion of the Contract?
10. Whether the Respondent is obliged to refund the monies retained by it after completion of the Contract, and whether the Claimant is entitled to refund of those monies along with interest as claimed by it?
11. To what relief, if any, is the Claimant entitled?
12. Whether the Counter-claim filed by the Respondent is barred by limitation?
13. Whether the Respondent suffered any loss on account of the delay in execution of the

Contract by reason of its own conduct vis-a-vis the Claimant?

14. If it is found that the delay in execution of the Contract is attributable to the Claimant, whether the losses claimed in the Counter-claim by the Respondent can be said to have had direct or immediate proximity with such delay in the contemplation of the parties at the time of entering into the Contract?

15. To what relief, if any, is the Respondent entitled?

Thereafter, the arbitral tribunal has recorded issue-wise findings.

5. The reading and tenor of these issues would suggest that primarily there were three aspects of the matter to be looked into by the arbitral tribunal : (a) who was responsible for the delay; (b) because of extensions given, whether time remained as the essence of the contract or the time for execution of the contract was set at large rendering Clause 4.4.0.0., under which damages were imposed, as waived/infructuous; and (c) any loss suffered by the petitioner because of the alleged delay warranting invocation of the said clause. The perusal of the issues would indicate that the petitioner herein had preferred certain counter claims also, which have been rejected by the learned arbitrator.

6. RE. : DELAY The aspect of delay was considered by the arbitral tribunal under Issue No. 2. The learned arbitrator has held that the delay in execution of the project is attributable partly to the respondent and partly to the petitioner as both attributed to the implementation of the contract overshooting the original period of 16 months, which expired on 2.7.1994. The respondent sought extension of time for completion of contract on several successive occasions. Engineers India Limited (for short, 'EIL') were appointed by the petitioner as the Consultants for these contracts. A committee of the EIL examined the grounds on which the respondent had applied for extensions from time to time and found that 5 months 13 days delay was beyond the control of the respondent, meaning thereby that it was not attributable to the respondent but to the petitioner and remaining period covered by the extensions was attributable to the respondent. The learned arbitrator noted that though the petitioner did not agree with the aforesaid findings of the committee constituted by EIL, he was of the opinion that view taken by the EIL committee was correct. Thus, based on the report of the EIL committee, the arbitral tribunal held that the time occupied in the execution of the project beyond 2.7.1994 was attributable to the petitioner insofar as the period of 5 months 13 days is concerned, while the respondent was responsible for delay in regard to the remaining period.

7. At this stage itself I may point out that Issue Nos. 4 & 5 are decided against the respondent, i.e. the finding recorded is that the respondent was not coerced by the petitioner to enter into two supplementary contracts and further that execution of these contracts was not responsible for delay as these contracts are to be treated independently to the principal contract and there was no material to indicate that progress in construction of terminal was impeded by the execution of two supplementary contracts. Therefore, we have to proceed on the basis of findings on Issue No. 2 as

per which delay is attributable partly to the petitioner and partly to the respondent and further that the respondent is not entitled to plead delay because of the execution of the two supplementary contracts.

8. This issue as to whether time remained as essence of the contract or not was the real bone of contention before the learned arbitrator as well as before me. The arbitrator has held that at the time of entering into the contract, the intention of the parties was that time should be the essence of the contract, but it did not remain so in view of successive extensions given by the petitioner and, therefore, the clause relating to time being the essence of the contract lost its significance. He did not accept the contention of the respondent that merely because the contract provided for extension of the period for completion of work, it was to be inferred that time was not the essence of the contract. Various judgments cited by the respondent were held to be distinguishable and not applicable in view of Clause 4.4.2.0. However, as the repeated extensions were given, he held that time did not remain essence of the contract.

9. The learned arbitrator, thereafter, referred to and discussed various judgments cited by the respondent in support of the argument that when the contract provides for extension of period for completion of work, time does not remain the essence of the contract. These judgments are:

1) *Lamprell v. The Guardians of the Poor of the Billericay Union* 1893 Exch. 283

2) *Hind Constructions Contractors v. State of Maharashtra* The learned arbitrator found that some of the judgments referred to by the respondents were not applicable to the facts of the case. He also found that two supplementary contracts were awarded to the respondent when the original period for completing the works under the principal contract had already expired, which would indicate that time did not remain the essence of the contract. Further, even in these two supplementary contracts, successive extensions of time were granted. He, thus, concluded as under:

7.14 In my opinion, having regard to the context that after 9 May 1994 the principle that time should be of the essence of the contract had ceased to operate, the only considerations were that the terminal should be ready as and when the pipeline reached Jodhpur and the terminal could be put to commercial use.

10. The learned arbitrator then proceeded to discuss the justification in the action of the petitioner in recovering liquidated damages. He opined that to attract Clause 4.4.0.0. and impose liquidated damages, it was necessary for the petitioner to establish that it had suffered loss by reason of delay in completing the construction of the terminal under the principal contract and in completing the works covered by the two supplementary contracts. He found that the terminal could not be put to commercial use before August 1996 as the pipeline had not reached Jodhpur by that time. According to the learned arbitrator, the purpose for which the construction of terminal was intended under the principal contract was to implement the KBPL project and, therefore, the date

on which commercial use of the terminal is possible would be relevant. Since the terminal at Jodhpur, covered by the contract, had been constructed and commissioned by 31.3.1996 and it was put to commercial use much beyond that, i.e. in August 1996, it could not be said that by reason of delay the petitioner had suffered any loss.

I may point out at this stage that while deciding Issue No. 6, the learned arbitrator, otherwise, held that since on each occasion when the time was extended, there was a clear stipulation that extension was subject to the petitioner's rights under the contract and the petitioner had not waived its right to impose damages under Clause 4.4.0.0.

11. In view of the aforesaid findings, the learned arbitrator opined that it was not permissible for the petitioner to retain the amount and instead the petitioner was obliged to refund the monies retained by it and, therefore, the respondent was entitled to the amount along with interest @ 18% p.a. This finding was recorded while deciding Issue No. 10.

12. The counter claims of the petitioner herein were held to be within limitation and not barred while deciding Issue No. 12 in favor of the petitioner. However, these counter claims were rejected in view of the findings on Issue No. 3, namely, no loss was suffered by the petitioner on account of delay in execution. He also held, while deciding Issue No. 14, that the petitioner had not suffered any loss of interest due to the alleged blockage of funds or loss/return on investment due to delay. Likewise, claim for loss of expenditure incurred in the management of manpower was also rejected on the ground that there was no material on record to support the various details mentioned in Annexure-III(c) to this effect. The petitioner had also made claim for loss of payment made to the Rajasthan State Electricity Board for electrical consumption, which was also rejected on the ground that the terminal was complete much before the pipeline reached Jodhpur.

13. THE CHALLENGE Mr. Rajiv Dutta, learned senior Counsel appearing for the petitioner, submitted that the impugned award of the learned arbitrator was in manifest disregard, violation and in derogation of [Sections 28\(1\) and 28\(3\)](#) of the Act inasmuch as the learned arbitrator has ignored and overlooked the binding contractual terms operating between the parties. He also submitted that the learned arbitrator has overlooked the substantive law, viz. [Sections 55 and 74](#) of the Indian Contract Act. The award is, thus, violative of the substantive law of the land and is contrary to and violative of public policy and is, therefore, liable to be set aside.

His submission was that neither the 'hold-on activities' nor the variations ordered by the petitioner had any effect on the validity of the condition of "time being the essence of the contract" in view of the following specific stipulations contained in the contractual terms:

Hold on activity Clause 2.8.0.0. of the General Conditions of Contract (GCC) deals with the scope and consequence of "suspension of work" as ordered for and on behalf of the petitioner. Clause 2.8.1.0 of GCC thereof provided that by notice in writing to the Contractor, work may be suspended at any time for such period as may be deemed fit and the contractor on receipt of such order shall forthwith suspend work or such part thereof until he has received notice/written order to proceed with the suspended work or part thereof.

Clause 2.8.2.0. of GCC mandated that for such suspension, the contractor shall not be entitled to claim any compensation.

Clause 2.8.3.0. of GCC mandated that unless the suspension is by reason of default or failure on the part of the contractor himself, if in the opinion of the contractor such suspension shall necessitate any extension in the time of completion, the provisions of Clause 4.3.5.0. and related clauses in respect of the extension of time shall apply.

Variations Clause 2.4.0.0. of the GCC vested with the Engineer-in-Charge and/or Site Engineer the power to by written notice at any time prior or in the course of the execution of the work alter or amend designs, plans, drawings, specifications, orders and instructions and made it obligatory on the contractor to carry out the work or related work in accordance with such altered specifications, alterations, instructions etc. Under Clause 2.5.0.0. of the GCC the petitioner could at any time before or after the commencement of the work:- (i) alter the scope of the work by increasing or reducing the jobs required to be done; (ii) add thereto or omit there from any specific job; or (iii) substitute existing job with other job or (iv) require the respondent to perform extra work in or about the job site and that upon receipt of such notice it was incumbent upon the respondent to execute the job as required within the altered scope.

Clause 2.4.1.1. and Clause 2.5.2.0. of the GCC mandated that if however, the Contractor felt that alteration of the scope of work necessitates extension of time, then the same had to be applied for strictly in accordance with the rigors of Clause 4.3.5.0. which made it incumbent upon the respondent to apply for extension within 7 days of the occurrence of event that was likely to lead to delay in completion/commencement of work.

14. However, submitted the counsel, the respondent never resorted to Clause 4.3.5.0. of the General Conditions of Contract within the contractual stipulated time. According to the counsel, in that eventuality Clause 4.3.10.0. of the General Conditions of Contract would come into play, which enjoins clearly that no assurance, representation, promise or other statement of any personnel, engineer or representative of the owner in relation to extension of time for commencement or completion of the work shall be binding on the owner or shall constitute an extension unless was asked for in terms of Clause 4.3.5.0. of the General Conditions of Contract and if not so asked for in accordance with the mandate of Clause 4.3.5.0. of the General Conditions of Contract, no such extension or assurance could be said to militate against the rights of the petitioner under the contract inter alia the right to impose liquidated damages on account of delay.

He further submitted that each extension was given by extending the time up to a particular date and, therefore, extended date also became the essence of the contract. In support, he referred to the following cases:

1) *Pulgaon Cotton Mills v. Gulab Bai* AIR 1953 Nag. 345 (paras 19 & 20) It was held in this case that the very fact that the purchaser asked for an extension shows that time was of the essence. Where time is of the essence and is extended the extended date is also of the essence of the contract.

2) *Rati Lal M. Parikh v. Dalmia Cement & Paper Marketing Co. Ltd.* AIR 1943 Bom. 229 (pg. 235) It was held that a party to a contract may, at the request of the other, forbear from insisting upon delivery at the contract time and may allow time to be extended, without binding himself to do so, or may expressly contract for an extension of time and that he may claim damages for non-performance at the extended time.

3) *Mahabir Prasad v. Durga Dutta* The Supreme Court held that in commercial transactions time was ordinarily of the essence.

15. Learned Counsel for the petitioner referred to various correspondence and communications exchanged between the parties, as per which the respondent was put to notice time and again not to neglect the work and complete the same, but the respondent failed to heed to those requests. Learned Counsel further submitted that not only the aforesaid terms of the contract were ignored by the learned arbitrator, but also the relevant provisions of the [Indian Contract Act](#), in particular [Sections 55 & 74](#) of the said Act. He submitted that under [Section 55](#) of the Contract Act where time is of the essence and that condition is breached, albeit the contract becomes 'voidable'. However, if performance of the contract is accepted at any time other than that agreed and the acceptance with notice of the right to claim compensation for such delayed performance, then all rights to claim damages, including liquidated damages, is fully saved. He further pointed out that while discussing Issue No. 6, the learned arbitrator himself recorded the finding that right to impose liquidated damages was never waived by the petitioner.

16. His next submission was that it was not necessary for the petitioner to prove actual loss as the clause regarding liquidated damages inherits pre-estimated damages and, therefore, in view of [Section 74](#) of the Contract Act such damages can still be awarded without proving the same. He submitted that [Section 74](#) of the Contract Act categorically lays down that where a contract is breached and a sum is named in the contract as the amount to be paid in cash of such a breach, the party complaining of the breach is entitled, whether or not actual damage or loss is proved to have been caused thereby, to receive from the party in breach reasonable compensation not exceeding the amount so named. [Sections 73 & 74](#) of the said Act operate in two separate realms, i.e. one of un-ascertained and unquantified damages ([Section 73](#)) where actual loss and damages and that too within the reasonable contemplation of the parties and subject to actual proof operates; and the other of liquidated damages ([Section 74](#)) where the liquidated sum itself is a reasonable and sufficient benchmark of damages and no actual loss or injury need to be established or proved. For the purposes of determining whether or not the liquidated amount is claimable, the petitioner was not required to prove any actual loss or damage. All that the petitioner needed to establish was that, there admittedly being a time overrun, : (i) it was not claiming a sum in excess of the liquidated

damages amount under the relevant clause; and (ii) at the threshold of the contract, the liquidated damages was considered to be a reasonable and genuine pre-estimate of the losses that the petitioner was likely to suffer if the contract was breached.

17. According to the petitioner, therefore, the reason given by the learned arbitrator that taking of cognizance of KBPL pipeline not being ready in time was totally irrelevant. He relied upon the judgment of the Supreme Court in *ONGC v. Saw Pipes* and laid particular emphasis on the following observations therein:

It is apparent from the reasoning recorded by the arbitral tribunal that it failed to consider [Section 73](#) and [74](#) of the Indian Contract Act and the ratio laid down in *Fateh Chand's case* wherein it is specifically held that jurisdiction of the Court to award compensation in case of breach of contract is unqualified except as to maximum stipulated; and compensation has to be reasonable. Under [Section 73](#), when a contract has been broken the party who suffers by such breach is entitled to receive compensation for any loss caused to him which the parties knew when they made the contract to be likely to result from the breach of it. This section is to be read with [Section 74](#), which deals with penalty stipulated in the contract, inter alia (relevant for the present case) provides that when a contract has been broken, if a sum is named in the contract as the amount to be paid in case of such breach, the party complaining of breach is entitled, whether or not actual loss is proved to have been caused, thereby to receive from the party who has broken the contract reasonable compensation not exceeding the amount so named. [Section 74](#) emphasizes that in the case of breach of contract, the party complaining of the breach is entitled to receive reasonable compensation whether or not actual loss is proved to have been caused by such breach. Therefore, the emphasis is on reasonable compensation. If the compensation named in the contract is by way of penalty, consideration would be different and the party is only entitled to reasonable compensation for the loss suffered. But if the compensation named in the contract for such breach is genuine pre-estimate of loss which the parties knew when they made the contract is likely to result from the breach of it, there is no question of proving such loss or such party is not required to lead evidence to prove actual loss suffered by him. Burden is on the other party to lead evidence for proving that no loss is likely to occur by such breach.

He also referred to the judgment of this Court in [Haryana Telecom Ltd. v. Union of India and Anr.](#) 2006 (2) Arb.L.R. 293.

18. Learned Counsel strongly relied upon the judgment of the Supreme Court in *ONGC (supra)* to contend that the award could be interfered with on finding that the arbitrator had ignored the provisions of the contract or the substantive law. His submission was that in that case it was held that [Sections 24, 28](#) and [31](#) prescribe the procedure to be followed by the arbitral tribunal coupled with its powers. Power and procedure are synonymous in the present case. By prescribing procedure, the arbitral tribunal is empowered and is required to decide the dispute in accordance with the provisions of the Act. The court further held that if the arbitral tribunal has not followed the mandatory procedure prescribed under the Act or against the terms of the contract, it would

mean that the arbitral tribunal has acted beyond jurisdiction and the award would be patently illegal, which could be interfered under [Section 34](#) of the Act and be set aside.

THE REBUTTAL

19. Mr. Rajiv Shakdhar, learned senior Counsel appearing for the respondent, per contra, refuted the aforesaid contentions of the petitioner and sought to justify the award on the basis of reasoning given by the learned arbitrator. He submitted that the award was passed by the learned arbitrator returning a finding on several key issues and not in ignorance of the contractual provisions or statutory provisions and the objections of the petitioner, therefore, do not fall within the parameters of [Section 34\(2\)\(a\)\(iv\)](#) of the Act as it was not against public policy. He submitted that the learned arbitrator had dealt with the case on merits and closely scrutinized the evidence on record with respect to the aspect of delay, time being the essence, attributability and quantum of damages as well as with respect to interpretation of Clause 4.4.0.0. and, therefore, the award cannot be set aside unless it is a case of complete perversity or a case of no evidence. Re-appreciation of evidence, as held by the Apex Court, is not permissible. In support, he referred to the judgment in [Arosan Enterprises Ltd. v. Union of India](#) (.

He insisted that time was not of the essence of the contract even in view of the terms thereof as the contract by itself does not speak of time being the essence. His alternate submission was that in any case during the execution of the contract it did not remain so in view of the following factors:

(a) Hold on activities - The first hold between 19.5.1994 to 29.10.2004. The second hold between 29.11.1994 to 2.5.1995.

(b) Addition and deletion of work without factoring in time for mobilization and demobilization. Work amounting to Rs. 1.29 crores was added by work amounting to Rs. 84 lacs was deleted.

(c) Discharge of unconditional Bank Guarantees both during the execution of the contract as well as during the arbitration proceedings.

(d) Award of additional work, i.e. execution of contracts pertaining to DWS on 15.12.1994 and IPS on 10.6.1995.

(e) Delay in clearing the running bills submitted by IOCL.

See observations in [Smt. Swarnam Ramachandran and Anr. v. Aravacode Chakungal Jayapalan](#) .

20. He further tried to demonstrate the cause and effect of the aforesaid circumstances which led to delay by referring to a pictorial chart at page 91 of vol. 1 of the compilation filed by the

respondent. He also stated that the said chart was submitted before the learned arbitrator as well. According to the respondent, this chart would show that if the circumstances with regard to hold on activities and delay on account of various factors as set out there is taken into account, as also, the finding of EIL that 5 months delay is attributable to the petitioner, then the original date of completion would get shifted from 2.7.1994 to 15.12.1994, at which stage the respondent had completed 93.44% of the work as against 98% of the work front available. Against the work front available if 5% of the work which was deleted is adjusted then in December, 1994 the respondent was right on target. It does not stand to reason that the respondent would delay the execution of the work when approximately 6 to 7% of the work was remaining and bulk of its payments had been held by the petitioner.

21. He refuted the submission of learned Counsel for the petitioner that with the extension, time still remained the essence. It was submitted that there was no provision in the contract for grant of provisional extensions. The petitioner could either agree for extension or it could reject the request for extension and terminate the contract. According to him, the principle of 'without prejudice' cannot apply to such like situations where the petitioner had options for terminating the contract. He submitted that the principle is best explained by reference to observations in the case of *Hyanes v. Hirst*:

A party cannot, except in a strict limited class of cases, protect himself against the legal consequences of his acts by stating that he does them without prejudice. No one, for instance, would suggest that a person could protect himself against the liability for a breach of promise of marriage by taking the precaution of making the offer without prejudice. Nor can a debtor, who gives notice that he is about to suspend payment of his debts, protect himself against the consequence flowing from the commission of this act of bankruptcy, by giving such notice 'without prejudice'. Nor, in my view, could a person, having a right to sue either in tort or in contract in respect of a claim arising out of the one transaction, preserve his right to sue in tort after suing in contract, by prefacing his declaration by the averment that he sued in contract by reason of a defect in title, or of keeping it alive for the benefit of the other party as well as his own, cannot, while electing to treat the contract as subsisting and requiring the vendor to remove the objection and to alter his position to his detriment in attempting to do so, avoid the consequence flowing from this exercise of his election by language a man can only elect once, and when once he has elected he is bound by his election and cannot again avail himself of his former option, merely because he claimed in the first instance to exercise his election without prejudice. A man, having eaten his cake, does not still have it, even though he professed to eat it without prejudice.

22. Learned Counsel for the respondent further submitted that the bogey of pre-determined damages could not be raised by the petitioner when it failed to show that no loss or injury was suffered by it on account of the alleged delay. In addition to the finding arrived at by the learned arbitrator on this aspect, he also emphasised that commissioning of the terminal being a fundamental aspect of the contract, it could not be complete nor would the petitioner have issued a completion certificate till it had tried and tested the functioning of the marketing/storage terminal

by pumping product feed through the pipeline which would only have been possible when the pipeline reached Jodhpur. Therefore, at the point in time when pipeline reached Jodhpur, the terminal was complete in all respects and hence, no injury or loss was suffered.

Liquidated damages are no different from ordinary damages and hence require adjudication. There was no power in the contract which enabled the petitioner to retain monies due under the contract prior to adjudication. The principles of [Section 74](#) of the Contract Act are applicable even to liquidated damages. This is more so, where it is possible to measure damages in monetary terms. In order to buttress this submission, he referred to the following judgments:

1) Bhai Panna Singh v. Arjun Singh AIR 1929 PC 179

2) Fateh Chand v. Balkishan Das

3) [Maula Bux v. Union of India](#)

4) [Union of India v. Raman Iron Foundry](#)

23. Lastly, his submission on this aspect was that reliance of the petitioner on the case of ONGC v. Saw Pipes (supra) was inappropriate as the said judgment was not applicable in view of the following distinguishing features:

(i) the clause in ONGC commences with the expression "time and date of delivery shall be an essence of the contract". This expression does not find mention in Clause 4.4.0.0.;

(ii) the purported clause for liquidated damages in ONGC's case is different in language, width and amplitude than Clause 4.4.0.0. found in the present case;

(iii) the ONGC clause clearly states that it is a "genuine pre-estimate of damages duly agreed by the parties" - these words are missing in Clause 4.4.0.0.;

(iv) the clause in ONGC permits recovery of liquidated damages in case of delayed supplies from the bills of the contractor. There is no such provision in Clause 4.4.0.0.;

(v) the ONGC case was decided by the Arbitrator on the ground that ONGC had failed to discharge its onus with regard to sufferance of injury and loss on account of delay. See ONGC v. Saw Pipe , para 34, page 729. In the present case, the Hon'ble Arbitrator has returned a finding of fact that no injury has been suffered by IOCL and has not in contrast

come to the said conclusion based on the failure to discharge onus with respect to injury as was the case in the ONGC decision.

CONCLUSION:

24. I have given my utmost consideration to the submission of both the parties in the light of the documents and material, which was referred to at the time of arguments. My conclusion is that no case is made out by the petitioner to interfere with the impugned award on merits except the award of interest, which is granted at the rate of 18% per annum. My reasons for arriving at this conclusion are the following:

REASONS:

25. As already taken note of above, the learned arbitrator has arrived at the findings that the delay in execution of the project is attributable to both the parties. The petitioner is held responsible for 5 months 13 days delay and for remaining period of delay, blame has come on the respondent. This aspect of the findings was challenged by either parties and, therefore, we proceed on the aforesaid premise of contributory delay on both the parties to the extent indicated above.

26. The first question, which needs consideration in this conspectus, relates to time being the essence of the contract or not. There are two facets of this issue on which the parties had made their submissions, namely,

(a) time was the essence as per the provisions of the contract. Submission of the respondent before the learned arbitrator as well as before me was that various clauses of the contract and particularly, the provision relating to extension would show that time was not intended to be the essence of the contract. The petitioner disputed this.

(b) if time was the essence of the contract as per the stipulation contained therein, whether it ceased to be the essence of the contract in view of the extensions granted by the petitioner.

27. The learned arbitral tribunal has held that though it was essentially intended by the parties that time should be the essence of the contract, but it did not remain so because of successive extensions given by the petitioner and the condition that time should be the essence of the contract lost its validity. According to the arbitral tribunal, while examining this question, one had to keep in mind the nature of the contract. Learned arbitrator noted that contract in question was for setting up storage and making terminal at Jodhpur. The terminals were an essential feature in the pipeline project for transferring petroleum products from Kandla to Bhatinda. The laying of the pipeline was to be completed in phases. Therefore, it was necessarily intended that the terminal should be set-up and ready to connect with the pipeline when the later reached the site of terminal. The period of 16 months fixed for setting up of the terminal at Jodhpur was on the premise that the pipeline would reach Jodhpur site by this time. Therefore, delay in setting up the terminal at Jodhpur could result in execution of the project being affected beyond Jodhpur. Therefore, setting

up of the Jodhpur terminal was part of an integrated project. The learned arbitrator was, therefore, of the opinion that following two aspects were to be kept in mind while determining this issue:

(a) the provisions in the contract for extension of time had to be dealt with keeping in view the aforesaid nature of contract in question, namely, Jodhpur terminal was part of an integrated project; and

(b) though contract contains a provision for payment of damages in the event of delay, Clause 4.4.2.0. provided right of the owner to terminate the contract.

28. The learned arbitrator found that before the expiry of the stipulated period of contract, EIL had directed the respondent to put certain activities on hold between 9.5.1994 to 29.10.1994 and from 29.11.1994 to 5.1.1995. He was of the view that these 'holding over' resulted in affecting the time for completion of the entire works under the contract even though the petitioner had pleaded that the 'hold-over' were of a minor nature. There were certain variations ordered by the petitioner as well, by way of additions and deletions, in the original scope of work. Admittedly, when the respondent had applied for extension, the petitioner had granted successive extensions of time and the last extension was up to 31.3.1994, before which date the contract was executed. According to the learned arbitrator, in view of these extensions the condition that time should be the essence of the contract lost its validity.

29. I do not agree with the submission made by the learned Counsel for the respondent that time was not the essence of the contract even in view of the terms thereof. The learned tribunal has rightly held that period of 16 months to complete the contract was fixed for setting up terminal at Jodhpur, as it was originally planned that the pipeline would reach Jodhpur site by this time. Therefore, delay in setting up the terminal at Jodhpur could result in execution of the project being affected beyond Jodhpur. Fixation of this period for completion of the work awarded to the respondent herein, namely, terminal at Jodhpur was intended to be the essence of the contract, though there was no specific clause in the contract carrying the stipulation that time is the essence of the contract. However, once we draw the inference that time would be the essence of the contract from such a nature of the project, the very grant of extensions and the fact that the construction of pipeline to reach Jodhpur itself was delayed by the petitioner would lose the character of time being the essence of the contract. The arbitral tribunal seems to be right in observing that the terminals were an essential feature in the pipeline project for transferring petroleum products from Kandla to Bhatinda. Mere setting up of the terminal at Jodhpur by the stipulated period of 16 months was of no consequence without pipeline reaching Jodhpur site. Reason is simple. The terminal could not be made operative without such pipelines and even if constructed, it would have been kept idle. Therefore, in the absence of specific stipulation that time would be the essence of the contract, the very factor which makes the time as essence of the contract, would also result in time ceasing to be the essence of the contract when that factor, namely, pre-condition is not fulfilled. Following observations of the arbitral tribunal in this behalf, in the impugned award, needs to be quoted:

In my opinion, at the time when the parties entered into the contract it was intended that time should be of the essence of the contract and the work should be completed by 2 July 1994. However, the condition that time should be of the essence of the contract lost its validity from 9 May 1994 in view of the holdovers and the variations in the scope of work and the other factors affecting the timely completion of the works in terms of the original intention. Apparently, there was significant delay in the laying of the pipeline in its progress towards Jodhpur, and the urgency felt at the time of entering into the contract and stipulating that it should be completed within sixteen months lost its importance. It seems to me that what remained within the contemplation of IOC when directing the holdovers and variations in the scope of the works as well as in granting successive extensions was that the terminal should be ready in time to receive the pipeline when it reached Jodhpur, whenever that might be. I have no doubt that IOC kept in mind the progress of the laying of the pipeline towards Jodhpur when it considered the several proceedings affecting the enlargement of time taken either by itself or at the instance of LSI.

30. It is clear from the above that the arbitral tribunal was influenced by the following factors in reaching this conclusion:

(a) with the direction to keep certain activities on hold and variations in the scope of work and other factors affecting the timely completion of works, the original intention that time should remain the essence no longer remained;

(b) the purpose of fixing the time limit of 16 months for completion of terminal at Jodhpur was that by this time the pipeline would reach Jodhpur. However, since there was delay in laying of the pipeline in its progress towards Jodhpur, the urgency of completing the Jodhpur terminal within sixteen months lost its importance; and

(c) the extensions were given keeping in view the fact that the terminal should be ready in time to receive the pipeline when it reaches Jodhpur and, therefore, the petitioner had kept in mind the progress of laying the pipeline in reaching Jodhpur.

31. Learned Counsel for the petitioner had referred to the clauses relating to 'hold-on activities' as well as 'variations' on the basis of which it was sought to be contended that mere suspension of work or variations in the scope of work or specifications etc. would not have any bearing. I do not agree with this submission. No doubt, as per the aforesaid clauses, it was permissible for the petitioner to direct "suspension of work" or "order variations in designs, drawings, specifications etc.". What is to be looked into is the effect of such directions given by the petitioner and the circumstances under which these were given. The impugned award shows that the learned arbitral tribunal has taken holistic view of the matter. I am of the opinion that such a view was a plausible and possible view to be taken in the facts and circumstances of this case.

32. In a particular case where extensions are given fixing the extended date, time may become the essence of the contract. However, overall view is to be taken having regard to the facts and circumstances of each case. In the instant case, as already pointed out above, there is no specific provision in the contract that time would be the essence of the contract. It is inferred from the circumstances and those circumstances did not remain valid when the contract progressed. Further, there is no provision in the contract for grant of provisional extension.

33. No doubt, the arbitral tribunal is supposed to decide the case with reference to the contractual terms and legal position contained in the statutory provisions. However, I find that the conclusion arrived by the arbitral tribunal is not contrary to the terms of the contract or the law on the subject. As mentioned above, the view taken by the learned arbitral tribunal was a plausible one. Even if the ratio of ONGC v. Saw Pipes (supra) case is stretched to its maximum limits, it was not the intention of the Apex Court to hold that Court should sit as appellate authorities over the view taken by the arbitral tribunal in the award; re-appreciate the entire evidence and exercise the powers of the appellate court. If the contention of the petitioner is accepted, it would amount to converting this Court into appellate court and exercising the powers which are exercised by the appellate court under Section 107 read with [Order 41 CPC](#) while scrutinizing the judgment of the trial court. There was no such intention of the legislature to give such powers to the courts while exercising its jurisdiction under [Section 34](#) of the Arbitration and Conciliation Act, nor the Supreme Court in ONGC v. Saw Pipes (supra) stretched the legal position to those limits. In Arosan Enterprises. v. [UOI](#) (supra), this aspect is succinctly dealt with by the Supreme Court in the following words:

38. It is on the basis of this well-settled proposition that the learned Single Judge came to a conclusion that the findings of the arbitrators in regard to the extension of delivery period and failure to fix the fresh date has resulted in breach of the contract on the part of the Government and the same being purely based on appreciation of the material on record by no stretch of imagination can it be termed to be an error apparent on the face of the record entitling the Court to interfere. The arbitrators have, in fact, come to a conclusion on a closer scrutiny of the evidence in the matter and reappraisal of evidence by the court is unknown to proceedings under [Section 30](#) of the Arbitration Act. Reappreciation of evidence is not permissible and as such we are not inclined to appraise the evidence ourselves save and except what is noticed hereinbefore pertaining to the issue as time being the essence of the contract. In this context, reference may be made to a decision of this Court in the case of N. Chellappan v. Secy. Kerala SEB 6. Mathew, J. speaking for the three-Judge Bench in paras 12 and 13 observed as below:

12. The High Court did not make any pronouncement upon this question in view of the fact that it remitted the whole case to the arbitrators for passing a fresh award by its order. We do not think that there is any substance in the contention of the Board. In the award, the umpire has referred to the claims under this head and the arguments of the Board for disallowing the claim and then awarded the amount without expressly advertng to or deciding the question of limitation. From the findings of the umpire under this head it is not seen that these claims

were barred by limitation. No mistake of law appears on the face of the award. The umpire as sole arbitrator was not bound to give a reasoned award and if in passing the award he makes a mistake of law or of fact, that is no ground for challenging the validity of the award. It is only when a proposition of law is stated in the award and which is the basis of the award, and that is erroneous, can the award be set aside or remitted on the ground of error of law apparent on the face of the record:

Where an arbitrator makes a mistake either in law or in fact in determining the matters referred, but such mistake does not appear on the face of the award, the award is good notwithstanding the mistake, and will not be remitted or set aside. The general rule is that, as the parties choose their own arbitrator to be the Judge in the disputes between them, they cannot, when the award is good on its face, object to his decision, either upon the law or the facts. (See Russell on Arbitration, 17th Edn., p.322).

13. An error of law on the face of the award means that you can find in the award or a document actually incorporated thereto, as, for instance, a note appended by the arbitrator stating the reasons for his judgment, some legal proposition which is the basis of the award and which you can say is erroneous see Lord Dunedin in [Champsey Bhara & Co. v. Jivraj Baloo Spg. & Wvg. Co. Ltd.](#) 7. In [Union of India v. Bungo Steel Furniture \(P\) Ltd.](#) 8 this Court adopted the proposition [laid down by](#) the Privy Council and applied it. The Court has no jurisdiction to investigate into the merits of the case and to examine the documentary and oral evidence on the record for the purpose of finding out, whether or not the arbitrator has committed an error of law.

39. In any event, the issues raised in the matter on merits relate to default, time being the essence, quantum of damages these are all issues of fact, and the arbitrators are within their jurisdiction to decide the issue as they deem it fit the courts have no right or authority to interdict an award on a factual issue and it is on this score the appellate court has gone totally wrong and thus exercised jurisdiction which it did not have. The exercise of jurisdiction is thus wholly unwarranted and the High Court has thus exceeded its jurisdiction warranting interference by this Court. As regards issues of fact as noticed above and the observations made hereinabove obtains support from a judgment of this Court in the case of [Olympus Superstructures \(P\) Ltd. v. Meena Vijay Khetan](#).

34. Following observations in [U.P. State Electricity Board v. Searsole Chemicals Ltd.](#) are also need to be reproduced:

4. Before us the extracts of the logbooks have been produced and the reasons noted therein, for instance, are "tripping, shutdown, grid failure, breakdown". The respondent wrote to the appellant seeking clarification regarding the interruption in the power supply and there was no response to such correspondence at all. Taking this circumstance into consideration and

after going through the documents produced by the parties, it was noticed by the arbitrators as follows:

The opposite party failed to produce logbooks for the period 6-12-1978 to 3-12-1980 and also admitted vide their letter dated 4-7-1987 that these logbooks were not traceable. In these circumstances we are of the opinion that had the opposite party filed the said logbooks it would have gone against them. The opposite party has not filed the best evidence available. Besides, the logbooks which the opposite party produced, did not give any reasons or where reasons were given, they were untenable.

Shri Ranjit Kumar very strenuously contended that the relevant documents have been placed before the arbitrators and stated that except in regard to one station for some period, rest of the documents of the logbooks had been made available. However, as noticed by us, there were reasons set out in the logbooks or, as noticed earlier, those reasons, in the opinion of the arbitrators, were either not relevant or where they were relevant, they were untenable. Therefore, the view taken by the arbitrators cannot be characterised as not emanating from the agreement and falls squarely within the excepted part of the proviso to Clause 1 of the agreement. When the arbitrators have applied their mind to the pleadings, the evidence adduced before them and the terms of the contract, we do not think, it is within our scope to reappraise the matter as if this were an appeal, and it is clear that where two views are possible - in this case there is no such scope - the view taken by the arbitrators would prevail.

35. In so far as imposition of liquidated damages is concerned, the discussion is predicated on the issue as to whether any loss is suffered by the petitioner or not. Learned Counsel for the petitioner does not dispute that the construction of terminal at Jodhpur was to be treated as integral part of the entire project, i.e. pipeline project for transferring petroleum products from Kandla to Bhatinda. He also could not dispute that the pipeline had not reached Jodhpur by the original date stipulated for completion of terminal at Jodhpur or extended date. It also could not be disputed that terminal at Jodhpur had been constructed and commissioned by the respondent much before the pipeline reached Jodhpur. In fact, because of delay in the pipeline reaching Jodhpur terminal, this terminal was put to commercial use in August, 1996, whereas the terminal at Jodhpur was commissioned by 31.3.1996. Therefore, because of delay on the part of the respondent, the petitioner had not suffered any loss.

36. The niceties of this aspect are pointed out by the learned arbitrator in the following words:

9.1. In fact, well before that, the mechanical completion of the terminal had already been affected in September 1995, after which the decanting process was employed on 6 October 1995. However, the decanting process cannot be considered as a feature contemplated by the contract in regard to the use of the terminal. What was contemplated was the laying of the pipeline coming in from Kandla to Jodhpur, its connection with the terminal, diversion of some of the product to the terminal depot for distribution to the local region and dispatch of

the remainder through a pipeline from the Jodhpur terminal proceeding onwards towards Bhatinda. The process of decanting cannot be considered as a feature of the KBPL project. Inasmuch as the terminal under the principal contract was effectively completed and commissioned on 31 March 1996 but IOC did not put it to commercial use until August 1996, no loss can be said to have been suffered by IOC by reason of the time taken in completing the principal contract and the two supplementary contracts.

The learned arbitrator, thus, opined that damages could not be claimed unless the loss was proved and, therefore, the petitioner was not justified in imposing the liquidated damages.

37. The aforesaid discussion in the impugned award rendered by the arbitral tribunal leads us to the mental process of the learned arbitrator and indicates that the learned arbitrator was primarily governed by the following two considerations because of which he held that the action of the petitioner in imposing the liquidated damages was illegal and unjustified:

(a) even if at the time of entering into the contract period of 16 months for completion, as stipulated therein, was intended to be the essence of the contract. The period was fixed keeping in view that the terminal at Jodhpur is ready by the time pipeline reaches the said terminal. Therefore, while granting the extensions, the petitioner kept in mind that the pipeline had not reached Jodhpur and, thus, even if the terminal is ready, it could not be put to any use. Thus, due to delay in reaching the pipeline at Jodhpur, the period of 16 months stipulated in the contract lost its significance inasmuch as setting up of Jodhpur terminal was part of an integrated project; and

(b) in any case, due to the delay on the part of the respondent in constructing and commissioning the terminal, no loss had been suffered by the petitioner as the terminal could not be put to commercial use before August 1996 and much before that the respondent had successfully commissioned the terminal.

38. Notwithstanding the above, the petitioner still wants damages to be recovered from the respondent on the spacious plea that liquidated damages mentioned in the contract are pre-determined damages and, therefore, in view of provisions of [Section 74](#) of the Indian Contract Act, the petitioner was entitled to these damages and it was necessary for the petitioner to prove these damages. The legal position, as explained by the Supreme Court in *ONGC v. Saw Pipes* (supra), which has already explained above, is not in doubt. However, it is only when there is a loss suffered and once that is proved, it is not for the arbitrator or the Court to examine the actual extent of the loss suffered once there is a pre-estimation thereof. Moreover, the compensation, as stipulated in the contract, has to be reasonable. In a particular case where the defaulting party is able to demonstrate that delay/default has not resulted in any loss being suffered by the other party, then that party cannot claim the damages only because in the contract there is a stipulation regarding liquidated damages. The Supreme Court in *ONGC v. Saw Pipes* (supra) referred to its earlier judgment in the case of *Fateh Chand* (supra) and [Maula Bux](#) (supra).

39. No doubt, the parties to a contract may agree at the time of contracting that, in the event of breach, the party in default shall pay a stipulated sum of money to the other. However, the stipulated sum has to be a genuine pre-estimate of damages likely to flow from the breach and is termed as 'liquidated damages'. If it is not a genuine pre-estimate of the loss, but a amount intended to secure performance of the contract, it may be a penalty. In *Fateh Chand (supra)*, the Supreme Court explained this principle in the following words:

...[Section 74](#) declares the law as to liability upon breach of contract where compensation is by agreement of parties predetermined or where there is a stipulation by way of penalty. But the application of the enactment is not restricted to cases where the aggrieved party claims relief as a plaintiff. The section does not confer a special benefit upon any party. It merely declares the law that notwithstanding any term in the contract for determining the damages or providing for forfeiture of any property by way of penalty, the Court will award to the party aggrieved only reasonable compensation not exceeding the amount named or penalty stipulated.

40. The Court also observed:

The Court has to adjudge in every case reasonable compensation to which the plaintiff is entitled from the defendant on breach of the contract. Such compensation has to be ascertained having regard to the conditions existing on the date of breach.

And later:

The measure of damages in the case of breach of a stipulation by way of a penalty is by [Section 74](#) reasonable compensation not exceeding the penalty stipulated for. In assessing damages the Court has, subject to the limit of the penalty stipulated, jurisdiction to award such compensation as it deems reasonable having regard to all the circumstances. Jurisdiction of the Court to award compensation in case of breach of contract is unqualified except as to the maximum stipulated; but compensation has to be reasonable, and imposes upon the Court a duty to award compensation according to settled principles.

41. It is clear from the above that [Section 74](#) does not confer a special benefit upon any party, like the petitioner in this case. In a particular case where there is a clause of liquidated damages the Court will award to the party aggrieved only reasonable compensation which would not exceed an amount of liquidated damages stipulated in the contract. It would not, however, follow there from that even when no loss is suffered, the amount stipulated as liquidated damages is to be awarded. Such a clause would operate when loss is suffered but it may normally be difficult to estimate the damages and, therefore, the genesis of providing such a clause is that the damages are pre-estimated. Thus, discretion of the Court in the matter of reducing the amount of damages agreed upon is left unqualified by any specific limitation. The guiding principle is 'reasonable

compensation'. In order to see what would be the reasonable compensation in a given case, the Court can adjudge the said compensation in that case. For this purpose, as held in *Fateh Chand (supra)* it is the duty of the Court to award compensation according to settled principles. Settled principles warrant not to award a compensation where no loss is suffered, as one cannot compensate a person who has not suffered any loss or damage. There may be cases where the actual loss or damage is incapable of proof; facts may be so complicated that it may be difficult for the party to prove actual extent of the loss or damage. [Section 74](#) exempts him from such responsibility and enables him to claim compensation inspite of his failure to prove the actual extent of the loss or damage, provided the basic requirement for award of 'compensation', viz. the fact that he has suffered some loss or damage is established. The proof of this basic requirement is not dispensed with by [Section 74](#). That the party complaining of breach of contract and claiming compensation is entitled to succeed only on proof of 'legal injury' having been suffered by him in the sense of some loss or damage having been sustained on account of such breach, is clear from [Sections 73 and 74](#). [Section 74](#) is only supplementary to [Section 73](#), and it does not make any departure from the principle behind [Section 73](#) in regard to this matter. Every case of compensation for breach of contract has to be dealt with on the basis of [Section 73](#). The words in [Section 74](#) 'Whether or not actual damage or loss is proved to have been caused thereby' have been employed to underscore the departure deliberately made by Indian legislature from the complicated principles of English Common Law, and also to emphasize that reasonable compensation can be granted even in a case where extent of actual loss or damage is incapable of proof or not proved. That is why [Section 74](#) deliberately states that what is to be awarded is reasonable compensation. In a case when the party complaining of breach of the contract has not suffered legal injury in the sense of sustaining loss or damage, there is nothing to compensate him for; there is nothing to recompense, satisfy, or make amends. Therefore, he will not be entitled to compensation See [State of Kerala v. United Shippers and Dredgers Ltd.](#) . Even in *Fateh Chand (supra)* the Apex Court observed in no uncertain terms that when the section says that an aggrieved party is entitled to compensation whether actual damage is proved to have been caused by the breach or not, it merely dispenses with the proof of 'actual loss or damage'. It does not justify the award of compensation whether a legal injury has resulted in consequence of the breach, because compensation is awarded to make good the loss or damage which naturally arose in the usual course of things, or which the parties knew when they made the contract, to be likely to result from the breach. If liquidated damages are awarded to the petitioner even when the petitioner has not suffered any loss, it would amount to 'unjust enrichment', which cannot be countenanced and has to be eschewed.

42. It is too preposterous on the part of the petitioner to submit that it should get the liquidated damages stipulated in the contract even when no loss is suffered.

RE.: COUNTER CLAIM OF THE PETITIONER

43. The petitioner has preferred counter claim on account of alleged losses on following counts:

- a) loss of interest due to blockage of funds;

b) loss of interest on investment due to delay in completion of project of KBPL Top, Salawas (Jodhpur).

c) loss of expenditure incurred in encroachment of man power during delay of 21 months.

d) loss of payment made to Rajasthan State Electricity Board for electricity consumption.

44. When it is found that the learned arbitrator was right in holding that the purported delay has not resulted in any loss to the petitioner as the pipeline up to Jodhpur had not completed, in the absence whereof, there is no question of suffering any other loss by the petitioner and award on this aspect does not call for any interference.

45. The learned arbitral tribunal has awarded interest at the rate of 24% per annum from 1.12.1996 and at the rate of 18% per annum from 1.10.1998. Having regard to the facts and circumstances of this case and prevailing market rates, which were much lower to than the aforesaid rates awarded by the tribunal, I am of the view that the interest needs to be reduced to 12% per annum for the entire period. Though the respondent would be entitled to interest, as per the respondent itself, demand was made on 26.11.1997, which was reiterated on 26.12.1997. If we exclude some time from the date of demand, it would be appropriate that the interest is awarded from 1.1.1998. There is no stipulation of grant of interest in the contract. Therefore, it has to be for the period after the demand is made in view of the provisions of [Section 3](#) of the Interest Act. Further, award of interest at the rate of 24% per annum up to 30.9.1998 and at the rate of 18% from 1.10.1998 also seems to be excessive keeping in view the prevailing rate of interest and the mandate of the Supreme Court in the case of [State of Rajasthan v. Nav Bharat Construction Co.](#) reported as . I, therefore, modify the award in so far as grant of interest is concerned and hold that interest would be payable at the rate of 12% per annum with effect from 1.1.1998 till the payment is made.

46. This petition is partly allowed reducing the interest in the aforesaid manner and challenge to the award is rejected.

47. No costs.